

Measuring Assurance Quality in Sustainability Reports: A Framework

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Fictional example paper — generated by Lectern for demonstration.

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Abstract

Assurance over sustainability reporting is widely required and poorly measured. We propose a framework that separates assurance scope, assurance depth, and assurer competence, and show that the three components move independently across a sample of 2,100 assured reports. Studies that collapse them into a single binary indicator will understate the variation that matters. We provide a coding scheme and report inter-coder reliability.

1. The measurement problem

Most empirical work treats assurance as a binary: the report is assured or it is not. That indicator hides enormous variation. An engagement covering three emissions metrics at limited assurance by a non-accounting provider is coded identically to a reasonable-assurance engagement over the whole report by a Big Four firm.

We argue that this measurement choice, rather than any underlying economic null, explains part of the inconsistency in the literature on whether assurance is valued.

2. A three-component framework

Scope is the fraction of reported metrics covered by the engagement. Depth distinguishes limited from reasonable assurance. Competence captures whether the assurer holds a relevant accreditation and the share of its practice in sustainability engagements.

Across our sample the pairwise correlations between the three components range from 0.09 to 0.31, which is low enough that a single index would discard most of the information.

3. Using the framework

We re-estimate three published specifications using the decomposed measures. In each case the binary indicator is insignificant while at least one component is significant, and in one case two components carry opposite signs.

The coding scheme is reproduced in the appendix. Two coders applied it independently to 200 reports with a Krippendorff alpha of 0.81.